Entrepreneurship and Professional Practice

Unit I: Introduction to Entrepreneurship (4 Hrs.)

1.1 Fundamentals of Entrepreneurship

1.1.1 Definition of entrepreneurship

1.1.2 Key terminologies: startup, enterprise, entrepreneur, entrepreneurial attitude, intention, and behavior

1.1.3 Comparison: entrepreneurship vs employment

1.1.4 Types of entrepreneurs and their characteristics

1.1.5 Enterprise lifecycle

1.1.6 Role, importance and challenges

1.2 Emerging technologies, trends of global and local startups

Unit II: Creativity, Innovation and MVP (3 Hrs.)

2.1 Concept of creativity, innovation and opportunity recognition

2.2 Sources of new business ideas and tools for idea generation

2.3 Types of innovation: product, process, and business model

2.4 Value proposition and minimum viable product (MVP)

Unit III: Startup Foundational Analysis (8 Hrs.)

3.1 Environmental analysis

3.1.1 Entrepreneurship ecosystem

3.1.2 Entrepreneurship supports and barriers

3.2 Competitor analysis

3.2.1 Identifying competitors

3.2.2 Sources of competitive advantage

3.3 Market analysis and plan

3.3.1 Market research, target customer profile

3.3.2 Key terminologies: SAM (Serviceable Available Market), TAM (Total Addressable Market), SOM (Serviceable Obtainable Market), and GTM (Go-To-Market) strategy

3.3.3 Branding and promotional strategies

3.4 Business strategy development

3.4.1 Vision and Mission statements

3.4.2 SMART Goal

3.5 Building team for startup

3.5.1 Strategies for recruiting founders and early employees

3.6 Financial analysis

3.6.1 Revenue streams and cost structures

3.6.2 Key financial statements for future financial projections

3.6.3 Raising capital for startup: seed capital, angel investment, venture capital

Unit IV: Business Modeling, Planning and Pitching (6 Hrs.)

4.1 Business canvas

4.1.1 Types of business canvases: business model, value proposition and lean

4.2 Business plan

4.2.1 Importance of the business plan

4.2.2 Contents of a successful business plan

4.3 Business pitch

4.3.1 Contents of successful idea pitch for different stakeholder

4.3.2 Pitch delivery skills

Unit V: Ethics and Responsibilities for Professional Practice (4 Hrs.)

5.1 Professional ethics and responsibilities

5.1.1 Professional roles and responsibility

5.1.2 Conflict of interest

5.1.3 Whistleblowing

5.1.4 Corporate social responsibility

5.2 Code of conduct-Nepal Engineering Council, IEEE and ACM

Unit VI: Legal Issues for Professional Practice
(5 Hrs.)

6.1 Intellectual Properties

6.1.1 Copyright, patent, design, trademark, and trade-secrets

6.1.2 IP Laws

6.2 IT related policies and laws in Nepal

6.2.1 ICT Policy

6.2.2 Electronics Transaction Act

6.2.3 Communication Act

6.3 Legal issues for startup

6.3.1 Business registration in Nepal

6.3.2 Taxation and compliance requirements

Definition of an Entrepreneur

- ✓ An entrepreneur is a person who identifies a business opportunity, harnesses and obtains the resources necessary to initiate a successful business activity.
- ✓ The entrepreneur implements the idea
- ✓ Undertakes to operate the business
- ✓ An entrepreneur is therefore a central key individual in the society who makes things happens for economic development.

Entrepreneurship meaning

- ✓ In the broader sense entrepreneurship refers to the means of stimulating innovative and creative undertakings for a better business community or world.
- ✓ The act or process of identifying business opportunities and gathering the necessary resources to initiate a successful business activity.
- ✓ Entrepreneurship is a French word meaning to undertake and focuses on a business enterprise
- ✓ Entrepreneurship can exist in any situation – therefore it is the creation of values through establishing a business enterprise.
- ✓ Entrepreneurship means having an idea of one's own and trying to implement the idea to create values on it.

Entrepreneurship meaning

- ✓ Entrepreneurship is a term which encompasses what entrepreneurs do i.e
  - □ Identifying a business opportunity of a particular demand
  - □ Look at the opportunity as a process of creating, something that did not exist.
  - □ Constantly searching/ harnessing ones environment and resources to implement the activities.
  - □ Creating a totally new product and using it in as new.
- ✓ Entrepreneurship there is the practice of starting a new business or revitalizing existing businesses in response to identifying opportunities.

Self-Employment

- ✓ Working independently and earning a living from it.
- ✓ This is a concept that arises when the entrepreneur relies on revenues from his business as a source of income
- ✓ What is Unemployment? Advantages and disadvantages of Self Employment?
- ✓ What is Salaried Employment? Advantages and Disadvantages of Salaried employment? Enterprise
- ✓ A business undertaking by an individual for the purpose of making a profit.

Factors impeding the growth of Entrepreneurship

- ✓ High Taxation Levels
- ✓ Corruption and Official Harassment
- ✓ Unregulated competition from outside countries
- ✓ Decline in personal incomes
- ✓ The high cost of finance
- ✓ Lack of entrepreneurial culture
- ✓ Poor transport and communication networks
- ✓ Lack of skills and knowledge
- ✓ Explain the distinctions between an Entrepreneur and a Manager

Entrepreneurship

i) Entrepreneurship looks at particular individuals in a business set-up. It operates in large business or organization which is business minded to make profit.

ii) Entrepreneurs operate autonomously for the welfare of the organization.

iii) The term Intra – refers to within – therefore Entrepreneurship is a process whereby an individual or group within a large organization creates something new or different to maximize on the available opportunities to that organization. iv)Intra can therefore be equated to entra within the context of a large organization where the workers are a leeway to be creative or innovative on their own.

v) They become competitive, socially and economically the idea is to allow individuals within the organization to act and think independently.

Entrepreneurial Behavior

- Several theories have been developed to explain why entrepreneurs behave the way they do.
- There has been debate on whether entrepreneurs are born or made
- Born-hereditary, made-entrepreneurs are environmental influenced by where they are born.
- These are;

Economic

- ✓ The theory explains entrepreneurial behavior as influenced by economic factors through which.

- It is possible to introduce new methods
- It is possible to find new sources of materials
- It is possible to open new markets

- ✓ The economic prospective is important since they create enabling environment for the entrepreneur to combine the factors of production.

Psychological factors

- ✓ The theory states that entrepreneurs have unique values, attitudes and needs within which drive them.
- ✓ It is mostly concerned with personality traits as the main determinants of entrepreneurial behavior
- ✓ People are likely to become entrepreneurs because of high liking of say.

1. Independence
2. Attitude
3. Need to satisfy certain needs.

Sociological factors

- ✓ Maintains that environmental factors such as beliefs, culture, social structures determine entrepreneurial behavior.

Management factors

- ✓ Emphasizes on the organization of resources in a specific way to attain profits
- ✓ Leadership impacts on behavior and facilitates pioneer ship, achieving of goals and provides vision.

The Functions of an Entrepreneur

- The bearing of uncertainty is the primary function of the entrepreneur i.e. losses or profits.
- The management of the business enterprise i.e. can delegate
- iii)Provision of risk capital and invention.
- Identifying gaps in the market and turning such gaps to business opportunities i.e. to initiate a business.
- Financing the businesses, through raising and mobilizing the necessary resources to exploit opportunity.
- Searching for business opportunities through environmental scans.
- Mobilization of resources needed to start and run a business e.g. from
  - Personal savings
  - Friends & relatives
  - Financial institutions etc.
- Evaluation of business opportunities to access viability and any other benefits that mightaccrue to the business.
- Provide the necessary leadership for the business and those working in it.

Advantages of Entrepreneurship

- Financial gains
- Self-employment which leads to job satisfaction and flexibility
- Provide job opportunities to the unemployed or those seeking better jobs. A means of opening up new industries especially in the rural areas - facilitating globalization
- A source of generating income and increased economic growth.
- Facilitates competition encouraging high quality products
- Facilitates production of more goods and services
- Leads to the development of newer markets
- Promotes use of modern technology in especially small- scale manufacturing to enhance higher productivity

Economic, Social and Political Factors Affecting Entrepreneurial Development

High taxation levels. For business and personal incomes

- ✓ Which in effect reduce profits earned making it un-attractive to engage in business
  - ✓ Taxation of raw materials and other inputs raise production costs.

Corruption and official harassment

- ✓ Occurs where entrepreneurs are forced to bribe officials in various government departments to allow operation or start up.
- ✓ Raids under one pretext or another which tends to be very harassing.

Unregulated competition from the outside world due.

- ✓ Liberalization which opened importation competing locally produced goods.

Declining personal incomes of people due to

- ✓ Over-increasing cost of living
- ✓ Arise in unemployment

The high cost of finance

- ✓ The cost of borrowing is high
- ✓ Business collapses because they lack ability to repay loans.

Lack of necessary skills and knowledge due to

- ✓ lack of training opportunities
- ✓ high education costs

Poor transport and communication network

- ✓ making business difficult
- ✓ Inconveniencing consumers
- ✓ High energy costs
- ✓ Lack of entrepreneurial culture

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EMPLOYEE	ENTREPRENEUR
An employee is a person who works for a company while performing his or her duties	An entrepreneur is a person who creates a new business while bearing risks and enjoying most of the profits and rewards
Gets a fixed compensation for a month	Does not get fixed compensation
Has to follow instructions	Issues instructions and demands
Not responsible for each decision of the company	Responsible for every decision of his company
Entitled to different types of leaves in accordance with necessity	Not entitled to specific types of leaves
Have a specific retirement age limit	Do not have an exact age limit to exit their carrier

The Difference Between an Employee and an Entrepreneur

Entrepreneur

- Owns the business
- Does not have a “boss”
- Is responsible for the success or failure of the business
- Succeeds by satisfying a consumer need

Employee

- Does not own the business
- Works for someone else
- Is responsible for doing his or her job
- Succeeds by doing his or her job

Types of Entrepreneurs

Entrepreneurs are categorized into different types based on the following classifications:

1. Based on the Business Type
2. Based on the Technology
3. Based on Ownership
4. Based on Gender
5. Based on the Enterprise size
6. Based on Clarence Danhof

Types of Entrepreneurs

- **Based on the Business Type**
  - Trading Entrepreneurs
  - Manufacturing Entrepreneurs
  - Agricultural Entrepreneurs
- **Based on the Technology**
  - Technical Entrepreneurs
  - Non-Technical Entrepreneurs
- **Based on Ownership**
  - Private Entrepreneurs
  - State Entrepreneurs
  - Joint Entrepreneurs
- **Based on Gender**
  - Men Entrepreneurs
  - Women Entrepreneurs
- **Based on the Enterprise size**
  - Small-Scale Entrepreneurs
  - Medium-Scale Entrepreneurs
  - Large-scale Entrepreneurs
- **Based on Clarence Danhof**
  - Innovating Entrepreneurs
  - Imitative Entrepreneurs
  - Fabian Entrepreneurs
  - Drone Entrepreneurs

Based on the Business Type

Depending on the type of business, entrepreneurs are classified into the following types:

Trading Entrepreneur

A trading entrepreneur refers to a person who undertakes business-related activities. These types of entrepreneurs usually buy finished products in bulk from manufacturers at some discount. They then sell these products directly or with the help of retailers or vendors with profits. A business entrepreneur usually acts as a middleman between manufacturers and customers. This may include wholesalers, retailers, dealers, etc.

Manufacturing Entrepreneur

The founder of a business to manufacture products is known as a manufacturing entrepreneur. Manufacturing entrepreneurs analyze market needs or customer needs and manufacture products to meet such needs using various resources or technologies. In simple words, manufacturing entrepreneurs transform raw materials into finished products according to the customer's needs.

Agricultural Entrepreneur

Agricultural entrepreneurs refer to the types of entrepreneurs who primarily do agricultural work. They participate in a wide range of agricultural activities such as farming, irrigation, agricultural produce, mechanization, technology, etc.

Based on the Technology

Based on technology, entrepreneurs are classified into the following types:

Technical Entrepreneur

Such entrepreneurs are called technology entrepreneurs who use to start and continue industries primarily based on science and technology. These entrepreneurs develop new ideas and turn those ideas into technology-based innovations and inventions. They always work to create new methods of production in the fields of technology and science. Besides, they also manufacture products that can help ordinary citizens and other non-technical entrepreneurs in their enterprises.

Non-Technical Entrepreneur

As the name suggests, entrepreneurs who do not set up and run enterprises based on science and technology are known as non-technical entrepreneurs. In short, non-tech entrepreneurs are those who work for innovations using traditional methods. They typically use alternative and exemplary marketing methods and follow non-technical delivery strategies to engage directly with customers. This ultimately helps them to survive and grow their business in a competitive market. Moreover, they create better relationships and meet customer needs.

Based on Ownership

Based on ownership, entrepreneurs are classified into the following types:

Private Entrepreneur

When an entrepreneur starts something personal of his or her own, such as setting up an enterprise, he/she is called a private entrepreneur. A private entrepreneur is the only person who plays the sole proprietor role for a business venture and bears the risk associated with it.

State Entrepreneur

When a state or government does a business or industrial undertaking, it is referred to as a 'state entrepreneur'. In this case, the government is the sole owner of the enterprise and will bear all the profits and losses involved with it.

Joint Entrepreneurs

When a business or industrial undertaking is established and operated jointly by the private entrepreneur and the government, it is called joint entrepreneurship. The parties involved are called joint entrepreneurs. In this case, risk and profits are shared by both parties. However, the sharing percentages generally depend on the type of business and the agreement between the two parties.

Based on Gender

Based on gender, entrepreneurs are classified into the following types:

Men Entrepreneurs

When any business venture is formed, managed and operated by men, these men are referred to as men entrepreneurs.

Women Entrepreneurs

When any business venture is formed, managed and operated by women, these women are referred to as women entrepreneurs. Besides, if women have a minimum 51 percent share of the capital, they can also be known as women entrepreneurs.

Based on the Enterprise size

Based on the size of the enterprise, entrepreneurs are classified into the following types:

Small-Scale Entrepreneur

If an entrepreneur has invested up to a maximum of 1 crore in starting an enterprise, including plant and machinery, such entrepreneur is called Small Scale Entrepreneur.

Medium-Scale Entrepreneur

If an entrepreneur has invested a minimum of 1 crore to a maximum of 5 crores in starting an enterprise, including plant and machinery, then such entrepreneur is called Medium Scale Entrepreneur.

Large-Scale Entrepreneur

If an entrepreneur has invested more than 5 crores in starting an enterprise, including plant and machinery, such an entrepreneur is called a large-scale entrepreneur. This includes any investment above 5 crores.

Other Types of Entrepreneurs

Solo Operators

Solo operators include those types of entrepreneurs who start their work primarily alone. However, these entrepreneurs employ few employees if they require. It is the most common type of entrepreneur, and most people start their ventures like solo operators.

Active Partners

Active partners include entrepreneurs who jointly start their ventures. This may include two or more people. However, each person should have equal participation in the operation of the business. Besides, when the entrepreneurs support only with the money but do not actively participate in the business's operation, they are just called 'partners'.

Inventors

Inventors include entrepreneurs who work effectively and invent new products, using their ability and inventiveness. These entrepreneurs are generally primarily interested in innovative strategies.

Challengers

Challengers include entrepreneurs who seek new challenges in enterprise ventures, including manufacturing, distribution, and marketing. Once they achieve their set challenge, they begin to set and acquire new challenges.

Buyers

Buyers include entrepreneurs who do not like to take too much risk in completely new business establishments. These entrepreneurs mainly purchase on-going enterprises by paying a decent amount and start their operations. This ultimately reduces the risk of establishing a new enterprise as the existing enterprise typically has better business value and customer reach.

Researchers

Researchers include entrepreneurs who believe in facts and figures based on business studies. These entrepreneurs analyze all aspects of an enterprise and take enough time to gather enough information to make a clear assumption. Then they put their detailed work and understanding to launch the products. Researchers are usually least likely to fail because they leave no room for mistakes. They gather information and analyze all ideas from all angles based on all aspects.

Life-Timers

Life-timers includes entrepreneurs who consider enterprises as an integral part of their lives. In particular, these entrepreneurs mainly learn skills from their elders and continue to operate family ventures further. These entrepreneurs usually consider their enterprises a family tradition.

Becoming an Entrepreneur

While there is no proper rule of becoming an entrepreneur, the common methods involve the followings:

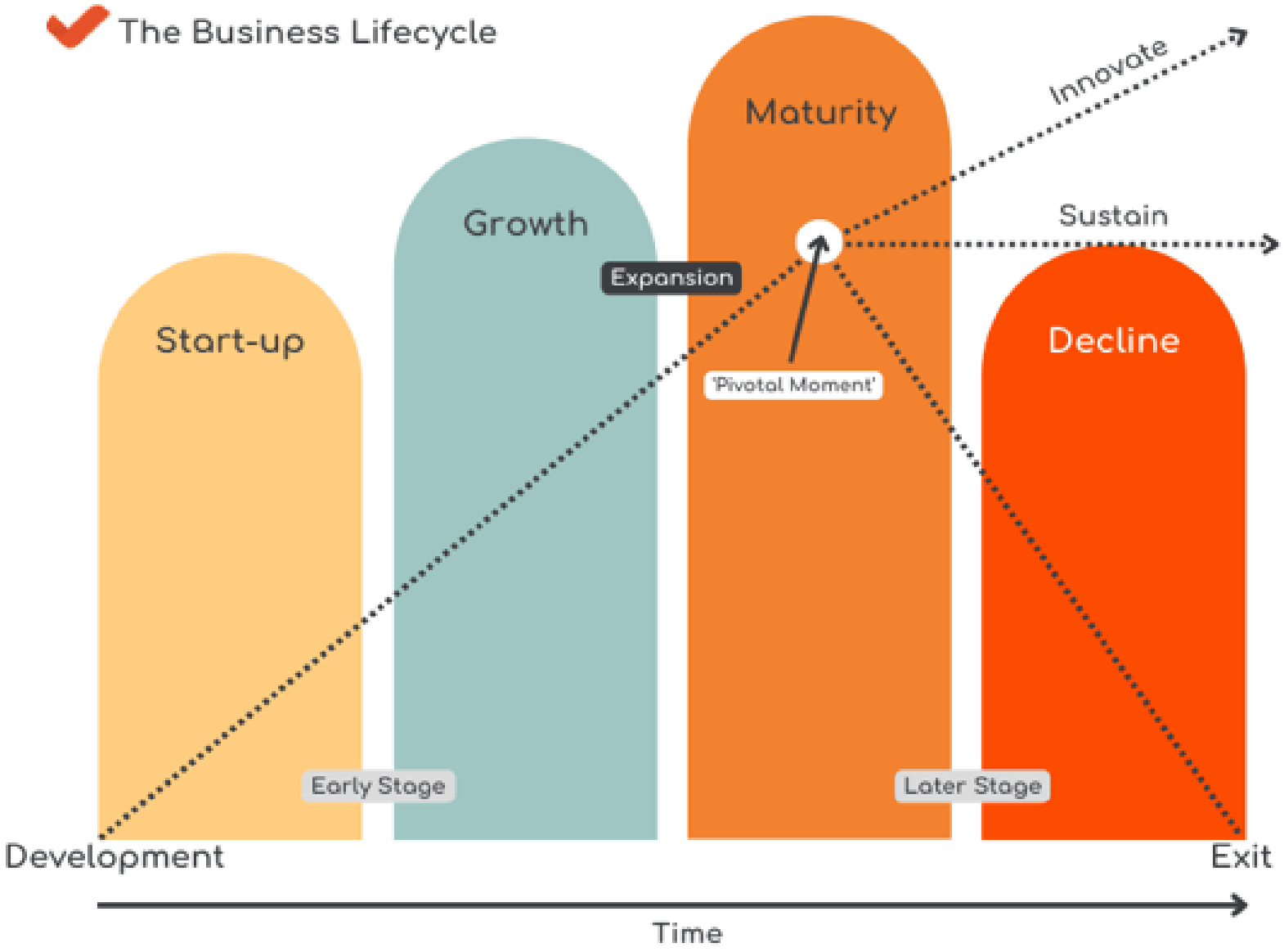
- Develop a unique idea for a business
- Get an understanding of the various enterprise sectors, such as management, finance, accounting, marketing, etc.
- Create a proper business plan and arrange for funding
- Hire specific employees with corresponding business requirements
- Implement competitive strategies and launch products or service
- Find and connect related market and customers to distribute the products or services
- Expand the business combing new ideas and products.

Characteristics of Entrepreneurship

- **Risk-Taking Ability**: When it comes to starting any business venture, there is always a risk associated with it. For successful entrepreneurship, an entrepreneur must have the courage to take risks and the patience to achieve better results. Additionally, they should also have a strategy to evaluate the risks and overcome any such situation.
- **Innovation**: Innovation is one of the important components of entrepreneurship. An entrepreneur must incorporate innovative ideas. New ideas help earn more profits related to launching new products to make operational business process changes to delivery strategies.
- **Clear Visionary**: To be a successful entrepreneur, one must have a clear vision. This means that an entrepreneur should know various business processes, including management, production, distribution, etc.
- **Leadership Quality**: Without leadership quality, it isn't easy to manage any business venture properly. Once a business is established, an entrepreneur needs to employ more employees to turn his ideas into reality. Leadership quality is very important to guide employees to follow proper procedures and make good use of resources.
- **Open-Minded**: Venturing with an open mind can benefit. Therefore, it is essential to keep looking for new opportunities where the business can be expanded or have greater profits or better market visibility.
- **Flexible**: Being flexible to try out new ideas, products or processes can sometimes provide great results. While there are risks, it can also be beneficial if applied carefully. An entrepreneur should be open to adapting to business changes according to the market's needs or whenever he has a chance to defeat the competitors.
- **Knowledge about products**: It is the most important part of entrepreneurship. An entrepreneur should be aware of the products that he or his company is offering with market requirements. It should be periodically evaluated whether the current offerings are satisfying customer demands or whether some changes need to be implemented to follow the latest trends in the market to meet customer needs.

Enterprise life cycle (ELC)

Enterprise life cycle (ELC) in enterprise architecture is the dynamic, iterative process of changing the enterprise over time by incorporating new business processes, new technology, and new capabilities, as well as maintenance, disposition and disposal of existing elements of the enterprise.


The Business Lifecycle
Start-up
Growth
Maturity
Decline
Innovate
Sustain
Expansion
'Pivotal Moment'
Early Stage
Later Stage
Development
Exit
Time

- **Start-up** - the company is focused on proving its value proposition and generating revenue
- **Growth** - the company increases its customer base and builds out additional products or services to help scale further
- **Maturity** - follows growth as the company focusses on stabilising operations, managing costs and seeking new opportunities
- **Decline** - sales begin to fall and resources are reallocated elsewhere in order to maintain profitability

Chapter 1: Assignment

- What is Entrepreneur and Entrepreneurship. Explain types of Entrepreneur and Entrepreneurship.
- Explain Enterprise life cycle.
- Explain Emerging technologies, trends of global and local startups.
- Explain Characteristics of Entrepreneurship.
- What is advantages and disadvantages of Entrepreneurship. Explain Functions of an Entrepreneur.
- Differentiate between employee and entrepreneur.